IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/31 (CHE)2022 in CA (CAA)/49/CHE/2021

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of *Scheme of Amalgamation*

of

TENSHI LIFE SCIENCES PRIVATE LIMITED
CIN NO: U74110TN2016PTC126537
4th Floor, Batra Center No.28,
Sardar Patel Road, Guindy,
Chennai – 600 032

... Applicant / Transferor Company – 1

And

KARUNA HEALTHCARE PRIVATE LIMITED
CIN NO: U74999TN2017PTC129053
4th Floor, Batra Center No.28,
Sardar Patel Road, Guindy,
Chennai – 600 032.

... Applicant / Transferor Company – 2

And

TENSHI PHARMACEUTICALS PRIVATE LIMITED
CIN NO: U74999TN2016PTC128331
4th Floor, Batra Center No.28,
Sardar Patel Road, Guindy,
Chennai – 600 032

... Applicant/ Transferee Company

*Order Pronounced on **29th November 2022***

CORAM

JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): P. Sriram, PCS

ORDER

Per: **JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **TENSHI LIFE SCIENCES PRIVATE LIMITED** (for brevity "Transferor Company–1") and **KARUNA HEALTHCARE PRIVATE LIMITED** (for brevity "Transferor Company–2") **TENSHI PHARMACEUTICALS PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as **'Annexure - 20'** to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Companies (1 to 2) and Transferee Company (In brevity the Applicant Companies) have filed the First Motion Application vide CA(CAA)/49(CHE)/2021 seeking

directions for dispensation of meeting of Equity Shareholders and preference shareholders and to order for meeting for Secured and Unsecured Loan Creditors and Unsecured Trade Creditors of all the Transferor Companies and with respect to the Transferee Company seeking directions of dispensation with the meeting of Equity shareholders and preference shareholders and to order meeting for all the secured creditors, Unsecured Loan Creditors and Trade Creditors. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 01.12.2021.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 01.12.2021, to convene meeting for all the secured creditors, Unsecured Loan Creditors and Trade Creditors of the Transferor Companies (1 & 2) on 05.02.2022 at the Registered Office of the company Transferor Company – 1 & 2 and to convene the meeting of the secured creditors, Unsecured Loan Creditors and Trade Creditors of the Transferee Company on 5.02.2022 at the Registered office address of the Transferee Company Accordingly, the Tribunal has appointed *Mr. Tarun Singh* and *Mr. Chandrappa Seetharamaiah* as Chairperson and *Ms. Nithya Pasupathy, PCS*

as scrutinizer for the said meetings. The Chairman and Scrutinizer appointed in the above said meetings have duly filed their reports as additional typesets along with this Company Petition. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 14.02.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefits;

a) This amalgamation results in capital restructuring of the Transferor Companies that meets the overall requirements/ objectives of the shareholders offering a clear and focused investment opportunity thereby unblocking of shareholders value, attract, investors, provide better flexibility in achieve capital and achieve higher long term financial returns for shareholders/investors.

b) The amalgamated entity will provide a platform to simplify management structure, leading to better administration and reduction in costs from more focussed operational efforts, rationalisation, standardisation and simplification of business processes.

c) The amalgamation would result in creation of a single unified platform for growth of all the investments held by the Transferor Companies and its identified affiliates leading to an efficient structure.

d) The amalgamated entity will provide greater integration and financial strength, which would result in maximising overall shareholder value.

e) The amalgamation allows the amalgamated entity to provide shareholders with an option to align with their investment philosophy and continuing to participate in the long term growth of the unified platform or select available options to fairly and appropriately exit.

f) The amalgamation is the first step towards simplification of group structure by eliminating multiple companies within the group over a phased manner.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 30.03.2022 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) Official Liquidator (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in *"Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).*

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 18.04.2022 and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 08.04.2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on

05.04.2022, (ii) Registrar of Companies Chennai on 05.04.2022, (iii) Official Liquidator on 05.04.2022 (iv) Income Tax Department on 05.04.2022 and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region Chennai *(hereinafter referred to as 'RD')* to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 18.04.2022 and has stated that Clause 6 of Part B of the Scheme provides for the protection of employees of the Transferor Company (1 and 2). All staff and employees of the Transferor Company (1 to 2), in service on the Effective Date, shall be deemed to have become staff and employees of the Transferee Company, with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

7.1.2 It is further averred in para 12 of the RD Report that as per Clause 11.3 of part C of the Scheme, the transferee

Company shall issue and allot to the shareholders of Transferor Company in the following proposition-

TRANSFEROR COMPANY NO. 1: (A) For resident equity shareholders - 05 fully paid up Optionally Convertible Redeemable Preference Shares of Rs. 10 each of the Transferee Company for every 191 fully paid-up Equity Shares of Rs. 10 each held in the Transferor Company No. 1; (B) For Mr. Sanjeev Kapoor, who is non-resident equity shareholder-05 fully paid up Compulsorily Convertible Preference Shares of Rs. 10 each of the Transferee Company for every 191 fully pald-up Equity Shares of Rs. 10 each held in the Transferor Company No. 1; (C) For Mr. Jose Parayanken, who is a non-resident equity shareholder-05 fully pald-up Equity Shares of Rs. 10 each of the Transferee Company for every 191 fully paid-up Equity Shares of Rs. 10 each held in the Transferor Company No. 1; (D) For Convertible Preference Shareholders-01 fully paid-up Class A Equity Shares of Rs. 10 each of the Transferee Company for every of fully paid up Compulsorily Convertible Preference Shares held in the Transferor Company No. 1; (E) For Series - B Redeemable Preference Shareholders-01 fully paid-up Series - A Redeemable Preference Share of Rs. 1000 each of the Transferee Company for every ot fully paid-up Series-B Redeemable Preference Shares of Rs. 1000 held in the

Transferor Company No. 1; (F) For Series -C Redeemable Preference Shareholders - 01 fully paid-up Series - B Redeemable Preference Share of Rs. 1000 each of the Transferee Company for every of fully paid-up Series-C Redeemable Preference Share of Rs. 1000 each held in the Transferor Company No. 1.

TRANSFEROR COMPANY NO. 2- (G) For Equity Shareholders - Transferor Company No. 2 has a negative value per share; hence no swap is possible. However, the shareholders of Transferor Company No. 2 will be entitled to the shares of Transferee Company that are held by Transferor Company No. 1 in the ratio of the holding of Transferor Company No. 2 in Transferor Company No. 1; (H) For Redeemable Preference Shareholders - 01 fully paid-up Series -C Redeemable Preference Share of Rs. 1000 of the Transferee Company for every o1 fully paid- up Redeemable Preference Share of Rs. 1000 each held in the Transferor Company No. 2.

7.1.3 It is further averred in para 11 of the RD Report that as per Clause 11 of Part C of the Scheme, the Transferee Company shall not issue and allot any shares to the Transferor Companies on the shares held by it in both the companies. Further, upon effectiveness of the scheme, the

investments in the shares between the Transferor Companies and the Transferee Company shall be cancelled without any further application, act, instrument or deed.

7.1.4. It is further averred in para 14 of the RD Report that Clause 12 of Part C of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Companies shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 2062,90,00,000 comprising of Rs. 5,73,00,000/- divided into 57,30,000 equity shares of Rs. 10/- each, Rs. 48,60,00,000/- divided into 4,86,000 Series-A redeemable preference shares of Rs. 1000/- each, Rs. 15,40,00,000/- divided into 1,54,000 Series-B redeemable preference shares of Rs. 1000/- each, Rs. 18,74,30,00,000/- divided into 1,87,43,000 Series-C redeemable preference shares of Rs. 1000/- each, Rs. 78,59,50,000/- divided into 7,85,95,000 Optionally Convertible Redeemable Preference Shares of Rs. 10/- each, Rs. 40,00,00,000/- divided into 4,00,00,000 Class A Equity Shares of Rs. 10/- each and Rs. 27,50,000 divided into 2,75,000 Compulsorily Convertible Preference Shares of Rs.

10/- each. The NCLT, Chennai may direct the Transferee Company to make remittance of fee / stamp duty, if any, after setting off the remittance made by the Transferor Companies on the proposed increase of authorized share capital and also to file the amended MOA and AOA on the above with the Registrar of Companies.

7.1.5. It is further observed that as per para 15 of the RD report wherein it has been stated that as per the Report of the RoC, Chennai, the Transferor Company (1 to 2) and Transferee Company are regular in filing their statutory returns up to 31.03.2021 and has reported that there are no prosecution / complaint/ inspection or Investigation pending against the Applicant Companies.

7.1.6 Further it is observed in Para 10 the RD Report that Clause 10 of Part B of the Scheme deals with changing the name of the Transferee Company. As such the name of the Transferee Company is changed from "Tenshi Pharmaceuticals Private Limited" to the name of the Transferor Company No. 1 I.e., "Tenshi Life Sciences Private Limited" upon effectiveness of the Company. The Transferee Company has undertaken to file the requisite forms with the jurisdictional Registrar of Companies to give effect to the change of name.

7.1.7 It is observed in para 3 of the RD Report that as per Clause 1.2 of Part A of the Scheme, the Appointed Date is 01.04.2019, which is ante-dated beyond a year and is not in accordance with Sec. 232(6) of the Companies Act, 2013. Hence, it is prayed that this Tribunal may direct the company to revise the appointed day or may determine the appointed date, as it thinks fit.

7.1.8. Thus, after examining the Scheme, except the observations made in para 3 and 14 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.2. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 05.07.2022 and has stated that they have appointed M/s.NSK and Associates., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

WITH RESPECT TO TRANSFEROR COMPANY 1:

(i) The Audited financial produced to them, the Chartered Accountants hereby confirms that the statutory dues as on 31.03.2021 has been paid off.

(ii) As per the records produced, the Transferor Company has not accepted any deposit from public.

(iii) As per their observation GST returns and TDS returns are updated till date.

(iv) The company has been regularly complying with the filing of the Statutory Returns with the Registrar of Companies. As per the information made available to them and on the basis of records produced, no prosecution has been launched against them / no actions are initiated by the Registrar of Companies.

(v) The Chartered Accountants have examined the documents and records available with the company and prima facie, nothing adverse or objectionable issues affecting the interest of the company or its members or creditors or prejudicial to the public interest are noticed.

WITH RESPECT TO TRANSFEROR COMPANY 2:

(i) According the audited financial produced to them, the Chartered Accountants confirms that the statutory dues as on 31.03.2021 has been paid off.

(ii) As per the records produced, the Transferor Company has not accepted any deposit from public.

(iii) As per their observation GST returns are filed till April, 22 and TDS returns are filed till Q3 2021-2022.

(iv) The company has been regularly complying with the filing of the Statutory Returns with the Registrar of Companies. As per the information made available to them and on the basis of the records produced, no prosecution has been launched against them / no actions are initiated by the Registrar of Companies.

(v) The Chartered Accountants have examined the documents and records available with the Company and prima facie, nothing adverse or objectionable issues affecting the interest of the company or its members or creditors or prejudicial to the public interest are noticed.

(vi) As per the audited financials and other relevant documents produced to them for verification, the Chartered Accountant confirms that there is no instance of misfeasance during the course of business. There is no diversion of funds and other matters which attracts the provisions of section 339/340 of the Companies Act, 2013.

7.2.1. Further in Para 4 of the OL report it was further submitted that On examination / scrutiny of the books of accounts, records, registers etc. of the Transferor Companies, the Chartered Accountants are of the opinion that the business has not been carried on with intent to defraud the creditors or any other person or for any fraudulent purpose attracting the penal provisions of the Companies Act, 2013. Neither has any person or Officer or Director of the Company misapplied or diverted or retained or became liable or accountable for any money or property of the company or has been found guilty of any misappropriation, breach of trust in relation to the company under the Companies Act, 2013. In view of the above observations, the Chartered Accountants are of the concerted opinion that the affairs of the Transferor Company (1 to 2) have not been conducted in a manner prejudicial to the interest of its members or creditors or public.

7.2.2 From the above observations made by the Chartered Accountant, the Official Liquidator sought to take

on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company (1 to 2). In this regard, this Tribunal hereby directs the Transferor Company (1 to 2) to pay a sum of **₹ 75,000 /- + GST (Rupees Seventy Five Thousand Plus GST)** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company (1 to 2).

7.3. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department do not have any objection to the sanction of the Scheme.

7.4. Despite notice having been served and public notice being issued in Business Standard English (All India Edition) on 08.04.2022 and Makkal Kural (Tamil Nadu Edition) dated 08.04.2022 there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income

Tax does not have any objection to the sanction of the Scheme.

7.5 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Mr. Ashish Koppa, Registered Valuer dated 27.03.2021, and the same is placed as

Annexure 40 of the Application typeset, wherein it has been recommended by the independent Registered Valuer as follows:

"**5.1. Exchange Ratio Between TLSPL and TPPL:**

- Based on the above, the share exchange ratio for the purposes of Scheme of Amalgamation would be as under :
- *For every 191 (One Hundred and Ninety One) shares held in TLSPL 5 (Five) shares of TPPL shall be issued.*
- Also, The CCPS will be taken over by TPPL at face value and the conversion will depend on the terms with the shareholders

5.2. Between KHPL and TPPL:

- Based on the above, the share exchange ratio for the purposes of Scheme of Amalgamation would be as under :
- As KHPL has a negative value per share no swap is possible between KHPL and TPPL. However, the KHPL's shareholders will be entitled to the shares of TPPL to the extent, KHPL holds in TLSPL. Also, the RPS will be taken over by TPPL at face value."

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment

contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure 41-43' of the Application typeset.

10. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "20" with the Company Petition as well as the prayer made therein.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for

oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, right and interest of the Transferor Company (1 to 2) shall, pursuant to section 232(3) of the Companies Act,1956 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company (1 to 2) shall pursuant to Section 232(3) of the Companies Act, 2013

without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **01.04.2021**.

(iv) The 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme is filled with ROC Chennai as mentioned in clause 1.4 of Part A of the SCHEME .

(iv) That all proceedings now pending by or against the Transferor Company (1 to 2) be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company (1 to 2) in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company (1-2), as have not given such notice of dissent, as is required by Clause 11 of Part C of the Scheme herein, the shares in the Transferee Company to which they are entitled under the said Scheme.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the

enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company(1 to 2).

(viii) That the Transferor Company (1 to 2) and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company (1 to 2) shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company (1 to 2) registered with him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

- Sd -

MEMBER (TECHNICAL)

- Sd -

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

Vinita Varshini K